The territorial area of a village Panchayat can be specified by a public notification by the Governor of the state, and may consist of more than one village. Similarly, the intermediate level which can be a Taluk or Block is also to be specified by the Governor through a public notification in this regard. This provides a certain amount of flexibility to the States in constituting Panchayats at the lower and middle levels.

A new schedule, Eleventh Schedule was inserted in to the Constitution of India, which provided for obligatory and discretionary functions of the Panchayats at three levels,

(a) The Village Level

(b) The District Panchayat at the district level

(c) The Intermediate Panchayat which stands between the village and district Panchayats in the states where the population is above 20 lakhs

All the seats in a Panchayat shall be filled by persons by direct election from territorial constituencies in the Panchayat area. The electorate is named as "Gram sabha" consisting of persons registered in the electoral rolls relating to a village comprised within the area of a Panchayat.

Eleventh Schedule (Article 243 G)

- Agriculture, including agricultural extension
- Land improvement, implementation of land reforms, land consolidation and soil conservation
- Minor irrigation water management and watershed development
- Animal Husbandry, dairying and poultry
- Fisheries
- Social forestry and farm forestry
- Minor forest produce
- Small scale industries, including food processing industries
- Khadi, village and cottage industries
- Rural housing
- Drinking water
- Fuel and fodder
- Roads, culverts, bridges, ferries, waterways and other means of communication
- Rural electrification, including distribution of electricity
- Non-conventional energy sources
- Poverty alleviation programme
- Education including primary and secondary schools
- Technical training and vocational education
- Adult and non – formal education
- Libraries
- Cultural activities
- Market and fairs
- Health and sanitation including hospitals, primary health centres and dispensaries
- Family welfare
- Women and child development
- Social welfare including welfare of the handicapped and mentally retarded
- Welfare of the weaker sections and in particular of the scheduled castes and the scheduled tribes.
- Public distribution system
- Maintenance of community assets.

11th Std Political Science Eng Medium Vol-2_Chapter 12.indd 230 2/5/2020 4:17:53 PM